ClariFund Decision System

The Loan Decision Workspace



Helping approved SMEs understand loan offers and make confident, informed decisions.

PRIMARY BUSINESS GOAL

Enable more informed borrower decisions and higher qualified conversion while maintaining responsible lending, credit quality, and compliance.

The decision problem is bigger than "low conversion"

ClariFund sits between approval and decision—where uncertainty can create avoidable delay, support dependency, or drop-off.

1. BUSINESS — Lender View

Lender wants

- More qualified disbursals
- Higher approval → disbursal conversion
- Lower avoidable support effort
- No deterioration in credit quality
- Responsible, compliant decisions

QUALITY > RAW CONVERSION

2. BORROWER — Customer View

Borrower needs

- Decision confidence before committing
- Understand true cost (Fees, Net Cash, APR)
- Identify important obligations
- Know what to clarify with RM / CA
- Decide without decoding dense legalese

INFORMED DECISION

3. OPPORTUNITY — The Solution

ClariFund opportunity

Make the loan offer easier to understand, validate, and orchestrate across stakeholders.

```
Cost + Obligations
+ Source Clauses
+ Contextual Q&A & Scoped CA Review
```

Clarity → Confidence → Qualified Disbursal

Approved SMEs are not necessarily ready to decide

PRIMARY PERSONA

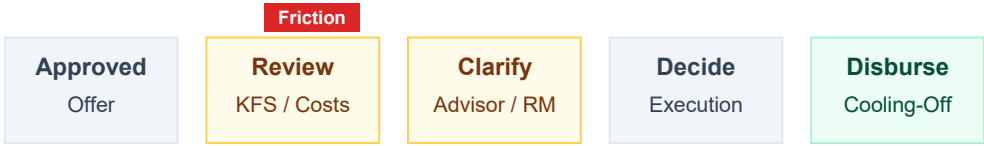
RK **Rohan Kulkarni**
37 • Founder & MD • Pune

K Precision Components Pvt. Ltd.
~₹6 Cr revenue • 65 employees
₹40,00,000 financing need (Machinery & WC)

> *"I understand my business and my numbers. I just don't have time to decode the lender's language and figure out which parts actually matter to me."*

TIME-POOR | FINANCIALLY CAPABLE

DECISION JOURNEY WITH FRICTION CLUSTERING



Friction clusters around Review ↔ Clarify ↔ Decide.

PROBLEM STATEMENT

Approved SME borrowers struggle to understand the true cost (headline rate vs APR), obligations, and practical implications of an offer. Important information is spread across pricing details and dense legalese, contributing to delayed decisions and drop-off.

Real-world collaborative decision loop:
Rohan reviews → shares key terms with CA Priya & Co-Director Arjun → gets clarification → returns to execute. ClariFund supports this loop, not a blind 1-click accept.

Three hypotheses worth proving

We intentionally avoid claiming lender data we do not have; the case frames these as testable hypotheses and clear evidence plans.

H1 — COST AMBIGUITY

Cost Understanding

Borrowers struggle to understand total economic cost beyond headline interest rate—specifically upfront fee deductions (₹80k) vs net disbursal (₹39.2L) and the true APR (14.8%).

`Signal: Drop-off at fee table; RM queries on net received cash.`

H2 — TERM AMBIGUITY

Term Comprehension

Important contractual obligations—personal guarantees, financial covenants (DSCR ≥ 1.25×), and non-compounding penal charges—are buried in legalese.

`Signal: Agreement viewer abandonment; CA review delay.`

H3 — DECISION UNCERTAINTY

Decision Uncertainty

Inability to quickly validate terms with trusted advisors (CAs/co-directors) or obtain quick clarification contributes to decision paralysis and offer expiry drop-off.

`Signal: Expired offers with zero active decline reason.`

Evidence Plan: Funnel telemetry (Approval → Offer View → Execution → Disbursal); qualitative cohorts; support query clustering.

WORKING HYPOTHESIS: "Approved SMEs are not unwilling to borrow; they lack enough clarity and confidence to commit."

The job is to reduce decision uncertainty—not document reading time

The product earns its place when the borrower can answer the questions that matter before accepting.

PRIMARY JOB-TO-BE-DONE

“When I receive an approved loan offer for my business, I want to quickly understand its true cost, key obligations, and potential consequences, and validate them with my advisors, so I can decide with confidence.”

01 Economics Clarity

True Cost & Disbursal

Gross ₹40L, fees ₹80k, net cash ₹39.2L, EMI ₹1,33,815, APR 14.8%.

02 Obligation Clarity

Personal & Operational

Guarantees, covenants (DSCR ≥ 1.25×), prepayment & default rules.

03 Decision Support

Stakeholder Validation

Scoped CA review, auditable KFS acknowledgement, deliberate decline capture.

04 Accessible Q&A

Answers & Escalation

Source-cited ClariGuide assistant + operational RM escalation SLA.

MVP LENS Focus first on what helps the borrower understand the offer they have—not on building a marketplace or negotiation tool.

ClariFund = A transparent decision layer inside the journey

A progressive experience: simplify first, answer questions second, support multi-party execution third.

1 FIRST

Offer Summary & APR

Approved amount (₹40L), net disbursal (₹39.2L), tenure (36M), nominal interest (12.5%), and APR (14.8%).

2 SECOND

Cost & Disbursal Clarity

Itemized ₹80k fees, total interest (₹8,17,322), total repayment (₹48,17,322) with reconciled donut.

3 THIRD

Key Obligations & Cooling-off

Personal guarantees, repayment schedule, covenants, non-compounding late fees, and statutory cooling-off.

4 FOURTH

Source-Linked Q&A & SLA

Deterministic clause citation, AI abstention on ambiguity, and routed human escalation with validity SLA protection.

EXECUTION ORCHESTRATION

Authenticated Guest Access

Replaces naked public links with OTP-authenticated, role-scoped review workspaces.

```
CA: Read-only summary, costs, clauses
```

```
Co-Founder Arjun: Review + Board Res + eSign
```

Audit-logged & auto-expiring tokens.

DESIGN PRINCIPLE: Reduce uncertainty, don't pressure acceptance.

`Clarity → Confidence → Informed Decision → Qualified Disbursal`

A narrow MVP with a clear decision path & advisor loop

We build the minimum set of capabilities that addresses core uncertainty without expanding into advice, negotiation, or marketplace comparison.

✓ IN (MVP Scope)

- Reconciled Offer Summary & KFS-compliant APR (14.8%)
- Total Cost Breakdown (Net Disbursal + ₹80k fees)
- Full Amortization Table starting at ₹40L sanctioned
- Key Obligations with plain-language translations
- **Auditable KFS Review & Acknowledgement step**
- Authenticated Guest Access for CAs & Signatories
- Contextual ClariGuide Assistant with strict citations
- Routed Escalation with Validity Protection SLA

✕ OUT (Explicit Non-Goals)

- Personalized financial or tax advisory
- Autonomous pricing negotiation or counter-bidding
- Open-ended generative chatbot without source grounding
- Competing-lender marketplace comparison
- Complex multi-scenario balance-sheet modeling

RECONCILED CORE USER FLOW (8 STEPS)

01 Approved → 02 Overview → 03 Cost → 04 Repayment → 05 Obligations → 06 KFS Ack. → 07 Execution → 08 Disburse

Experience Architecture: Corrected Flow + Persistent Intelligence

Progressive disclosure keeps the approved offer + KFS/agreement as the source of truth—not the primary interface.

PRIMARY DECISION STREAM (PROGRESSIVE DISCLOSURE)

Borrower Self-Paced Flow

Step 1	Step 2	Step 3	Step 4	Step 5	Step 6
Offer Overview	**Cost Breakdown**	**Repayment Sched.**	**Key Obligations**	**Agreement & KFS**	**Decision & Exec.**
Amount, Tenure, APR	Fees & Net Disbursal	36-Mo Amortization	Guarantee & Covenants	Auditable Ack	Multi-Party eSign

CROSS-CUTTING INTELLIGENCE LAYER

ClariGuide Contextual AI Assistant

Available from every step via modal/drawer. Citations to exact clauses + zero hallucination.

STAKEHOLDER & OPERATIONAL LOOP

Authenticated Guest Access & Validity SLA

Scoped CA read-only review, signatory eSign, and credit query validity pause.

HIERARCHY OF TRUTH: Executed Agreement + Standardized KFS govern legally. ClariFund explanations are non-contractual aids.

Measure whether borrowers make informed decisions

NORTH STAR METRIC

Informed Decision Rate

% of eligible approved borrowers who reach a deliberate accept or decline decision within validity after demonstrating engagement with material terms (cost breakdown, obligations, or KFS review).

Secondary Outcome

Qualified Approval → Disbursal

L1 • Decision Confidence

Can I decide with clarity?

- Deliberate accept / decline ratio
- Reduction in abandoned expirations
- Qualitative post-decision rating

L1 • Offer Comprehension

Do I understand commitments?

- Cost breakdown dwell time (>60s)
- KFS acknowledgement completion rate
- Guarantee & covenant clause (CTR)

L1 • Decision Friction

Can I validate smoothly?

- Clarification cycle time (RM SLA)
- Advisor invite-to-auth rate (CA loop)
- Avoidable repetitive ticket reduction

GUARDRAILS Credit Quality (30/60/90 DPD) • Compliance/Regulatory Incidents • Unsupported AI Answer Rate (0.0%) • Responsible Declines

Prove causality before scaling

ClariFund should win because it improves informed decisions—not because it simply pushes more borrowers to accept.

CONTROL GROUP

Existing Loan-Offer Journey

Standard PDF sanction letter + naked contract dump without structured explanations or advisor workspace.

```
Baseline: Measure current drop-off, ticket volume,
and passive expirations.
```

TREATMENT GROUP

ClariFund Decision Workspace

Transparent cost/APR breakdown, obligations viewer, ClariGuide Q&A, KFS ack, and Authenticated Guest Access.

```
Primary Readout: Statistically meaningful uplift
in Informed Decision Rate with stable
guardrails.
```

RECONCILED EXPERIMENT ATTRIBUTION WINDOW

16-Day Validity + 3-Day Post-Expiry Window

Rather than tracking a fixed 25 days while the offer expires in 16 days, telemetry monitors the 16-day validity period + 3-day post-expiry disposition. Borrowers requiring extra CA review time can trigger "Request Validity Extension (Subject to Credit Policy)", dynamically extending the telemetry attribution window if approved.

`kfs_acknowledged` `extension_requested` `extension_approved` `decision_after_extension`

Two phases are enough to learn and improve

We deliberately stop short of open-ended comparison or complex scenario modeling until the core decision experience is validated.

PHASE 1: VALIDATE CORE EXPERIENCE — MVP Rollout

Offer Clarity + Authenticated CA Sharing

- Offer summary + total cost clarity (Fees, Disbursal, APR 14.8%)
- Key obligations + source clause links
- Auditable KFS acknowledgement step
- ClariGuide Q&A with strict clause grounding
- Authenticated Guest Access for CAs & Signatories
- Measure Informed Decision Rate + guardrails

Exit Criteria: Statistically meaningful uplift in Informed Decisions + stable credit quality.

PHASE 2: OPTIMIZE & SCALE — Post-Validation

Address Friction Loops with L2 Diagnostics

- Low ClariGuide usage → Improve contextual prompt placement
- High term clicks → Rewrite dense obligation explanations
- High escalation volume → Expand validated Q&A categories
- Good confidence, flat conversion → Identify commercial barriers
- Digital eSign integrations (NeSL DDE / Aadhaar eSign)

Exit Criteria: Automated triage handling ≥ 80% of standard covenant & fee questions.

OPERATIONAL SLA & EXPIRY PROTECTION MODEL

`Policy-Aware Validity Protection`

When a borrower raises a formal query regarding pricing or financial covenants, the system tags the request as sla_review_pending. If credit analysis is pending, the offer validity timer is protected under lender policy, preventing the operational failure mode of an RM replying to an expired loan offer.

Trust is the primary product risk to manage

The most dangerous failure mode is a borrower trusting an explanation that is incomplete, legally inaccurate, or disconnected from the real agreement.

AI INTERPRETATION ERROR — High Risk

Borrower accepts based on an inaccurate AI summary of covenant defaults or penal charges.

Mitigation: Deterministic retrieval only; verbatim clause citations; strict abstention rule when confidence is low; human escalation.

GUARANTOR LEGAL ENFORCEABILITY — High Risk

Personal guarantee or co-director signature contested due to deficient identity validation or casual link sharing.

Mitigation: Execution must strictly adhere to lender Board-approved KYC, Board resolution, and legally enforceable digital execution (NeSL / Aadhaar eSign).

REGULATORY KFS NON-COMPLIANCE — High Risk

Omission of statutory APR or conflating pre-execution KFS validity with post-disbursal cooling-off.

Mitigation: Dynamic APR derivation (14.80%); explicit separation of 16-day KFS window vs ≥ 3-day statutory cooling-off look-up period.

ADVERSE CREDIT SELECTION — Med Risk

Simplification drives conversion from borderline borrowers who default downstream.

Mitigation: Strict 30/60/90-day early DPD guardrails; 1-tap deliberate decline capture ensuring borrowers are never pressured.

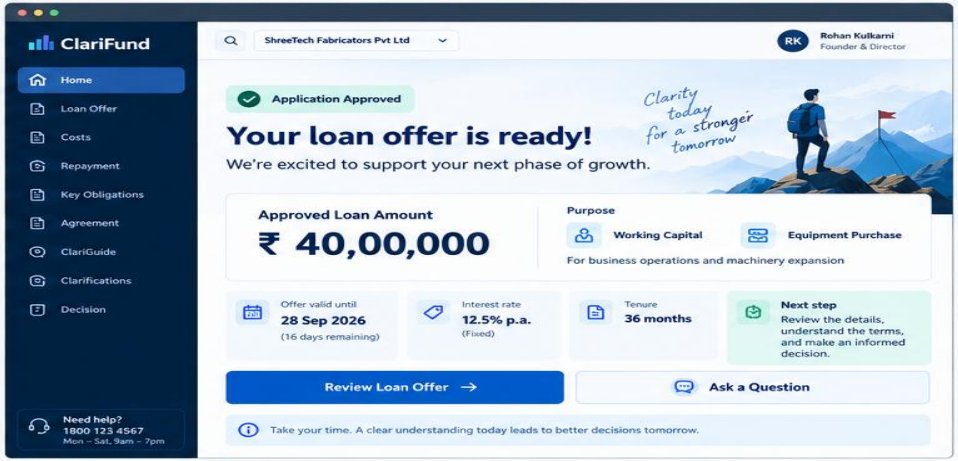
AI TRUST RULE

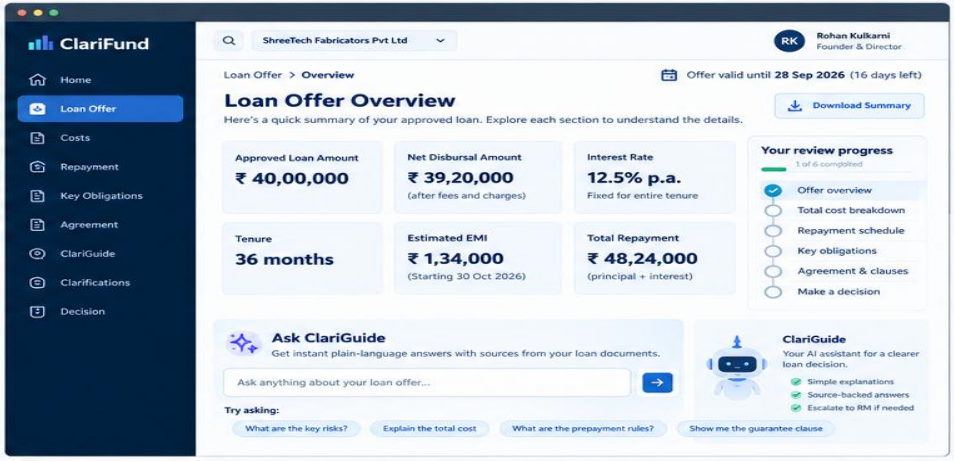
If ClariGuide cannot verify against approved contract, it abstains and routes to RM.

SOURCE-OF-TRUTH RULE

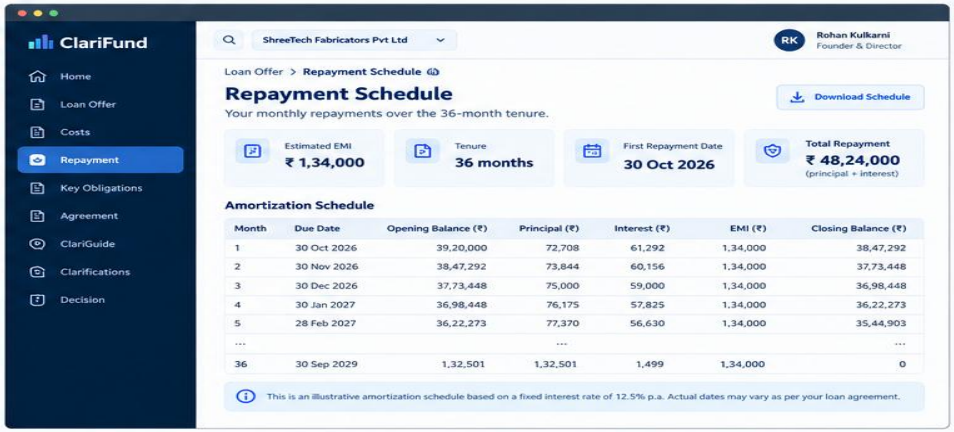
Executed Agreement + KFS govern legally. ClariFund summaries are non-contractual aids.

Screens 1–4: From Approval to Repayment Truth

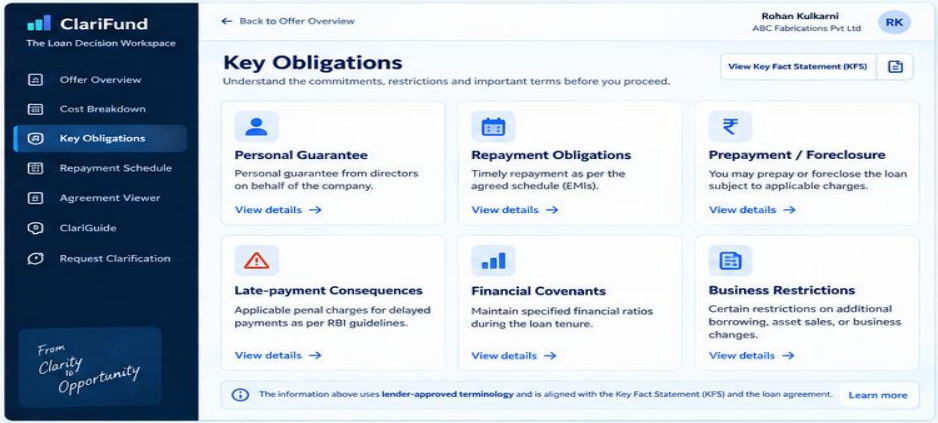








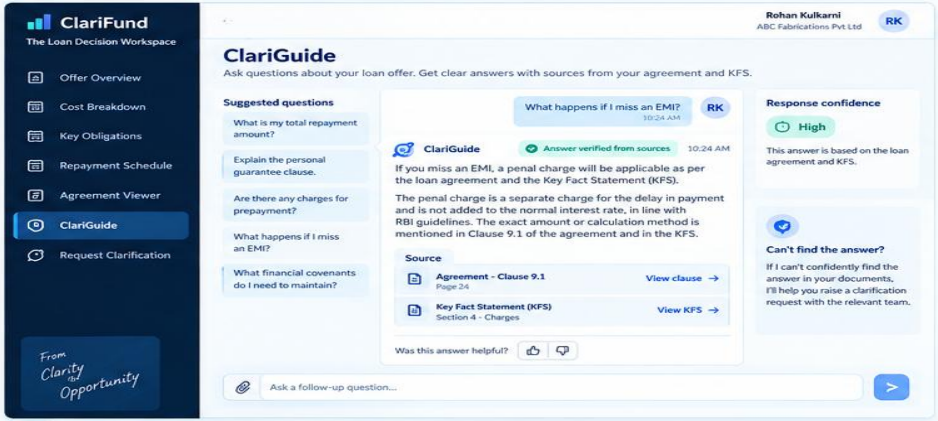
Screens 5–8: Contractual Truth & Multi-Party Orchestration



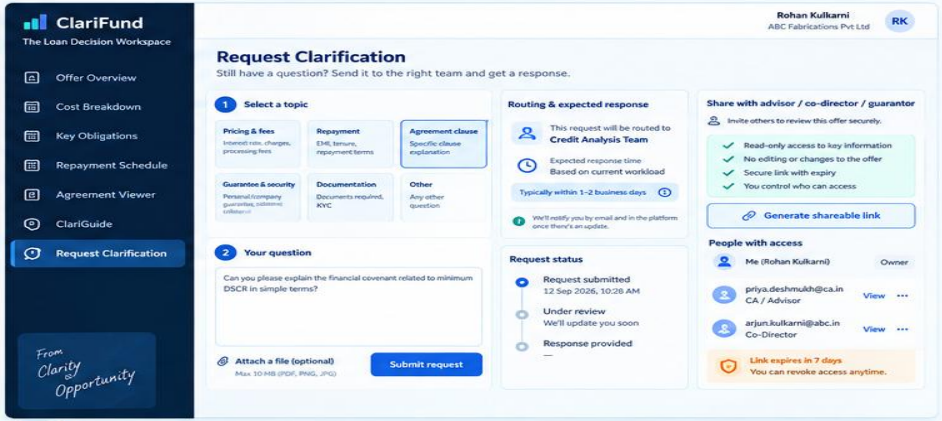
5 Key Obligations



6 Agreement Clause Viewer



7 ClariGuide Contextual Assistant



8 Request Clarification & Share

Better-informed decisions. Better-qualified conversion.

ClariFund is successful when borrowers can say “yes” or “no” with confidence—with qualified disbursal as the commercial business outcome, not the sole definition of product success.

01

Clarify the Offer

Make cost (APR 14.8%), obligations (guarantees & covenants), and source clauses easy to understand without diluting contractual enforceability.

02

Make Decisions Measurable

Use Informed Decision Rate as the North Star, paired with responsible decline reasons and credit quality guardrails (30/60/90 DPD).

03

Orchestrate the Loop

Support the real-world advisor review with Authenticated Guest Access for CAs and enforce credit team response SLAs with validity protection.

THE 4-LAYER SYSTEM 1. Financial Truth • 2. Contractual Truth • 3. Decision Support • 4. Execution Orchestration

Portfolio Requirements Document